

INSTITUTE OF ACTUARIES OF INDIA
EXAMINATIONS

May 2025

CB2 - Business Economics

Time allowed: 3 Hours 15 Minutes

Total Marks: 100

- Q. 1)** Which of the following concepts can be modelled using a Production Possibility Curve?
- A. A society can produce more of any good just by reallocating its resources more efficiently.
 - B. Societies have preferences about what should be produced.
 - C. Governments, rather than markets, are more efficient allocators of resources.
 - D. When all resources are being used, making more of one good means making less of the other good.
 - E. Prices that the goods will sell for will be determined in a market.
- [2]**
- Q.2)** Which of the following is TRUE for an increase in demand in an automobile market (assuming price unchanged)?
- I. Increase in income level;
 - II. Increase in interest rates;
 - III. Higher fuel prices;
 - IV. Rise of car sharing and subscription models;
 - V. Decrease in import tariffs for automobile ancillaries.
- A. I & II
 - B. I only
 - C. I, IV and V
 - D. II and III
 - E. All of above
- [2]**
- Q.3)** Star Bugs is a global cafe giant operates in highly competitive market. Despite this, it is able to charge higher prices for its coffee because Star Bugs has successfully created a brand image that appeal to its consumers who value its quality, ambience, and customer service. What could it possibly say about the price elasticity of demand of its products and services?
- A. Its demand is perfectly inelastic
 - B. It has an elastic demand
 - C. It has an inelastic demand
 - D. Its demand is perfectly elastic
 - E. We need more information to comment on its price elasticity of demand
- [2]**
- Q.4)** A rising real estate price may indicate a potential real estate boom in the offing. This could compel potential buyers/investors to purchase real estate as soon as possible before prices rise any further. This, in turn may increase the real estate demand and to even a bigger price rise. Which of the following best describes such pricing phenomena?
- A. Destabilising speculation
 - B. Speculation
 - C. Self-fulfilling speculation
 - D. Risk and uncertainty
 - E. None of the above
- [2]**
- Q.5)** Which of the following describes a negative production externality?
- A. The social marginal cost is greater than the private marginal cost
 - B. The social marginal benefit is greater than the private marginal cost
 - C. The social marginal cost is greater than the private marginal benefit
 - D. The social marginal cost is less than the private marginal cost
 - E. The social marginal cost is equal to private marginal cost
- [2]**

Q.6) A monopoly power in a market is likely to:

- A. increase in consumer surplus
- B. increase in producer surplus
- C. lead to lower prices and lower output
- D. decrease in producer surplus
- E. decrease in consumer surplus

[2]

Q.7) Assuming that cookies are a normal good. Which of the following is a likely outcome of an increase in the income level of its consumers?

- A. An increase in equilibrium price and a decrease in equilibrium quantity.
- B. A decrease in equilibrium price and an increase in equilibrium quantity.
- C. A decrease in equilibrium price and no change in equilibrium quantity.
- D. An increase in equilibrium price and no change in equilibrium quantity.
- E. No change in equilibrium price and quantity

[2]

Q.8) Consider a market for oranges. Suppose that both of the following occur simultaneously:

- (i) the price of apples (a substitute for oranges) decreases; and
- (ii) world-wide droughts reduce the harvest of oranges by 30%.

Then in the market for oranges, one would expect:

- A. The equilibrium price of oranges could either increase or decrease, but equilibrium quantity will definitely decrease.
- B. The equilibrium quantity of oranges could either increase or decrease, but equilibrium price will definitely decrease.
- C. The equilibrium price of oranges could either increase or decrease, but equilibrium quantity will definitely increase.
- D. The equilibrium quantity of oranges could either increase or decrease, but equilibrium price will definitely increase.
- E. The equilibrium quantity of oranges will decrease, and equilibrium price will also decrease.

[2]

Q.9) Choose a correct combination of missing entries in the table below.

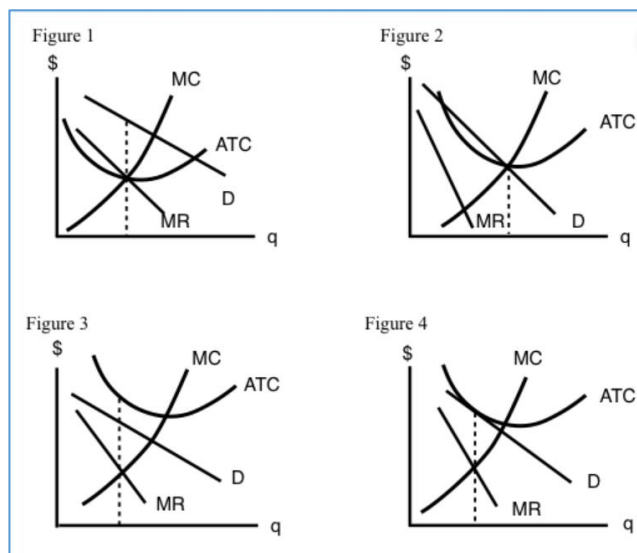
Market Type	MR Vs P	P Vs MC	LR Profit	LR ATC	Dead Weight loss
Perfect competition	MR=P	P=MC	Zero	LR ATC = Min ATC	(iv)
Monopoly	(i)	(ii)	greater than zero	(iii)	Yes

MR is Marginal Revenue; P is Price; MC is Marginal Cost; LR is long run; ATC is Average total Cost

- A. (i)MR > P; (ii) P < MC; (iii) LR ATC > Min ATC; (iv) No
- B. (i)MR > P; (ii) P > MC; (iii) LR ATC = Min ATC; (iv) Yes
- C. (i)MR < P; (ii) P > MC; (iii) LR ATC < Min ATC; (iv) No
- D. (i)MR < P; (ii) P > MC; (iii) LR ATC = Min ATC; (iv) Yes
- E. (i)MR < P; (ii) P > MC; (iii) LR ATC > Min ATC; (iv) No

[2]

Q.10) Which of the following graphs illustrates long run equilibrium for a monopolistically competitive firm?



[2]

- A. Figure 1
- B. Figure 2
- C. Figure 3
- D. Figure 2 and 4
- E. Figure 4

Q.11) A publishing house sells an Economics Textbook and an accompanying Study Guide. Mr A is willing to pay Rs 75 for the Textbook and Rs 15 for the Study Guide. Miss B is willing to spend Rs 60 for the Textbook and Rs 25 for the Study Guide. Both the Textbook and the Study Guide have a Zero Marginal Cost of production. If the publishing house charges separate prices for both products, which of the following total price of both the products, represents the likely best strategy is to charge prices?

- A. Rs 85
- B. Rs 75
- C. Rs 80
- D. Rs 60
- E. Rs 90

[2]

Q.12) Which of the following is an example of price discrimination:

- I. Reduced fares for rail travel for senior citizens
- II. Higher insurance premium for parents
- III. Reduced cost of food & drinks during Happy hours in the restaurants

- A. I, II and III
- B. III only
- C. I and III
- D. II only
- E. I only

[2]

Q.13)

ABC, a manufacturing firm producing shirts in NCR is a profit maximising firm. The factory rent per month is Rs 50,000; the salaries paid to managerial staff per month totals Rs 30,000. In addition to this, The firm employs daily labour which is Rs 1000 per day and the labour stitches maximum 5 shirts per day. The cost of raw material used in producing one shirt is Rs 200. It sells these shirts to wholesalers at Rs 500 per shirt. Assuming there is

no other cost, what is firm's short run shut down point and long run shut down point (in terms of number of shirts it needs to produce per day)?

- A. Short run shut down point -5 shirts; Long run shut down point - 5 shirts
- B. Short run shut down point -4 shirts; Long run shut down point - 10 shirts
- C. Short run shut down point -4 shirts; Long run shut down point - 9 shirts
- D. Short run shut down point -5 shirts; Long run shut down point - 10 shirts
- E. Short run shut down point -5 shirts; Long run shut down point - 9 shirts

[2]

Q.14) Which of the following is TRUE for the Kinked Demand Curve theory of an Oligopolistic market?

- I. It will seek to make only satisfactory rather than maximum profits;
- II. It has a discontinuity in its marginal revenue curve;
- III. Its demand curve is more elastic above the kink and more inelastic below the kink;
- IV. Its demand curve is more elastic below the kink and more inelastic above the kink.

- A. II and IV
- B. I, II and III
- C. I, II and IV
- D. I and IV
- E. II and III

[2]

Q.15) External economies of scale are usually the cost savings available to the whole _____ as a result of its _____.

- A. Business, Location
- B. Industry, size
- C. Industry, Location
- D. Business, size
- E. Industry, scale

[2]

Q.16) SAM and APP are two competitors in a smart phone market. Both of them need to decide whether to advertise or not advertise. The table below shows the payoffs for both of them in case one of them advertises, both advertise and none of them advertise.

		APP	
		Advertise	Don't Advertise
SAM	Advertise	4, 4	8, 0
	Don't Advertise	0, 8	6, 6

Choose correct combination of answers to the following questions.

- I. What is the *maximin* and *maximax* for SAM?
- II. What is the *maximin* and *maximax* for APP?
- III. What is the dominant strategy for SAM and APP?

- A. I. (4, 4); II. (6, 0); III. only SAM should advertise
- B. I. (4, 6); II. (4, 8); III. only APP should advertise
- C. I. (4, 8); II. (4, 8); III. both should advertise
- D. I. (4, 8); II. (6, 8); III. none of them should advertise
- E. I. (6, 8); II. (8, 8); III. No dominant strategy

[2]

Q.17) Which of the following is NOT typically considered a barrier to entry in an online clothing resale markets?

- A. Strict product regulation by local government
- B. Strong network effects create a significant advantage for established online platforms
- C. High set up cost for resellers
- D. Brand loyalty to established apps
- E. High elasticity of demand for products sold through online platforms

[2]

Q.18) Match column I and II and choose the correct option

Column I	Column II
I. Widow pension given by government	i. Consumer goods
II. Salary of labour	ii. Capital goods
III. Air conditions used by Hotels	iii. Transfer payments
IV. Shoes in retail shop	iv. Factor income

- A. I-iii, II - iv, III- i, IV-ii
- B. I-iii, II - ii, III- iv, IV-i
- C. I-iii, II - i, III- ii, IV-iv
- D. I-iii, II - iv, III- ii, IV-i
- E. I-iv, II - iii, III- ii, IV-i

[2]

Q.19) Which of the following could be the option(s) to control a recession in an Economy?

- I. Reducing Repo rate by the Central Bank
- II. Reducing Cash Reserve Ratio (CRR) by the Central Bank
- III. Reducing Government and Corporate spending

- A. Only I
- B. Only II
- C. Both II and III
- D. Both I and II
- E. All of them

[2]

Q.20) In an economy, the value of investment multiplier is 4 and autonomous consumption is Rs 30 Cr. Which of the following would be the relevant consumption function?

- A. $C = 30 - 0.75Y$
- B. $C = 30 + 0.75Y$
- C. $C = 30 + 0.25Y$
- D. $C = 30 - 0.25Y$
- E. $C + 30 = 0.75Y$

[2]

Q.21) Which of the following is the correct combination to fill in the blanks in the given statement?

In the short run, if there is a reduction in income tax, the AD curve will shift to the (I). Consequently, it would result in movement (II) along the short run AS curve towards the new equilibrium point with (III) in national income and (IV) price. This is an example of (V).

- A. (I)- left; (II) - downward; (III) - decrease; (IV) - increase; (V) – inflation
- B. (I)- right; (II) - upward; (III) - decrease; (IV) - increase; (V) – inflation
- C. (I)- right; (II) – upward; (III) - decrease; (IV) - decrease; (V) – demand induced inflation
- D. (I)- right; (II) – upward; (III) - increase; (IV) - increase; (V) – demand pull inflation

E. (I)- left; (II) - downward; (III) - increase; (IV) - increase; (V) – demand pull inflation [2]

Q.22) Which of the following services are likely to be provided by a financial intermediary?

- I. Maturity transformation
- II. Expertise in Channelling Funds
- III. Risk Transformation
- IV. Controlling Repo and Reverse Repo Rate

- A. I and II only
- B. I, II and III
- C. II only
- D. IV only
- E. All of them

[2]

Q.23) Which of the following variables would decrease in case of a Financial Contraction?

- I. Consumption
- II. Investment
- III. Output
- IV. Interest Rate

- A. Only I
- B. I and II
- C. I and III
- D. I, III and IV
- E. I, II and III

[2]

Q.24) If you hear a person saying "I lost my job because I was replaced by a machine," you should conclude that this person is _____ unemployed.

- A. Cyclically
- B. Structurally
- C. Frictionally
- D. Seasonally
- E. none of above

[2]

Q.25) Which of the following illustrates the "J-curve effect"?

- A. the initial deterioration and the eventual improvement of a country's trade balance following a currency depreciation
- B. the initial improvement and the eventual depreciation of a country's trade balance following a currency depreciation
- C. the trade balance's lack of responsiveness to the exchange rate changes
- D. the initial deterioration and the eventual improvement of a country's trade balance following a currency appreciation
- E. None of the above

[2]

Q.26) Which of the following actions could lead to an increase in the money supply?

- I. A drop in the liquidity ratio of banks due to increased use of digital payment platforms;
- II. A decrease in exports when the exporters are paying in domestic currency;
- III. Government borrowing money by selling interest bearing securities to finance a public sector deficit.

[2]

- A. I only
- B. I and II Only
- C. I and III Only
- D. II and III Only
- E. All of them

Q.27) Which of the following statements about Automatic fiscal stabilisers is NOT true?

- I. Automatic stabilisers merely reduce the multiplier i.e. to reduce the severity of the fluctuations, not to eliminate them altogether;
- II. The more powerful the automatic stabilisers, the bigger the change in G or T that would be necessary to achieve a given change in National Income;
- III. The advantages of fiscal stabilisers are adverse effect on aggregate supply and problem of fiscal drag.

- A. I only
- B. I and II
- C. I and III
- D. II and III
- E. None of them

[2]

Q.28) Which of the following are factors in favour of Supply side interventionist policy?

- I. Externalities involved in investment and training.
- II. The perfections of the capital market.
- III. Short-term perspective of decision makers.

- A. I only
- B. I and II
- C. II and III
- D. I and III
- E. All of them

[2]

Q.29) Which of the following is a correct definition of "Long run neutrality of money"?

- I. Contraction of money supply in short-term to control long-term money supply to keep inflation under control.
- II. Changes in money supply over the long run will only affect prices and not real output or employment.
- III. In the long run, money supply will revert to its equilibrium level by controlling interest rates.

- A. II and III
- B. I and II
- C. II Only
- D. III Only
- E. All of them

[2]

Q.30) According to the Phillips curve, unemployment will return to the natural rate when

- A. Nominal wages are equal to expected wages
- B. Real wages are back at equilibrium level
- C. Nominal wages are growing faster than inflation
- D. Inflation is higher than the growth of nominal wages

E. Unemployment will never return to natural rate [2]

Q.31) Which of the following best describes the core idea of the 'paradox of thrift'?

- A. Increased individual savings are always beneficial for the economy.
- B. Increased individual savings can lead to a decrease in overall savings.
- C. Decreased individual spending is necessary for long-term economic growth.
- D. Increased government spending is the best way to stimulate the economy.
- E. Increased borrowing leads to a stronger overall economy and greater wealth for all. [2]

Q.32) Which of the following policies are associated with Austrian school of thought?

- I. Ensure sufficient aggregate demand to stimulate investment and growth
 - II. Offer retraining schemes for those who are structurally unemployed
 - III. Reduce money supply growth to reduce inflation
- A. I only
 - B. II only
 - C. III only
 - D. I and II
 - E. II and III [2]

Q.33) While calculating the GDP of a nation, one of the problems is that output of some of the goods and services goes unrecorded which leads to the GDP figures understated. One of the reasons for it is "underground" or "shadow" economy. Which of the following could be an example of a shadow economy?

- I. Sale of illegal weapons;
 - II. Cash payment for buying a property to avoid tax;
 - III. Moonlighting, where people work outside their normal job and do not declare income for tax purposes;
 - IV. Parents looking after their children instead of hiring a nanny.
- A. I and II
 - B. I only
 - C. I, II and III
 - D. I, II and IV
 - E. All of them [2]

Q.34) Which of the following is correct combination to fill in the blanks in the given statement?

The extent of crowding out in case of an expansionary fiscal policy will be higher if the demand for money is (I) and investment demand is (II). Thus, the fiscal policy will be (III).

- A. I. less elastic, II. less elastic, III. less effective
- B. I. more elastic, II. more elastic, III. less effective
- C. I. less elastic, II. more elastic, III. less effective
- D. I. more elastic, II. less elastic, III. more effective
- E. I. more elastic, II. less elastic, III. less effective [2]

Q.35) Which of the following could be a possible cause of stagflation?

- I. An increase in structural or frictional unemployment at the same time as an increase in cost push inflationary pressures

- II. An increase in unemployment at the same time as an increase in aggregate demand
- III. When government increases aggregate demand to reduce unemployment is reversed because it has caused inflation, unemployment will rise but inflation might continue to rise due to expectation of inflation

- A. I and II
- B. I and III
- C. II and III
- D. II only
- E. III only

[2]

Q.36) Using the information in the table below, choose a correct set of given National Income Statistics?

Item	Amount in Rs
Transfer Payments	54
Interest Income	150
Depreciation	36
Wages	67
Gross Private Investment (I)	124
Business Profits	200
Indirect Business Taxes	74
Rental Income	75
Net Exports (X-M)	18
Net Foreign Factor Income	12
Government Purchases (G)	156
Household Consumption (C)	304

- I. GDP at market price using expenditure method
- II. GDP and factor cost using income method
- III. GNP at market price

- A. I. Rs 528; II. Rs 492; III. Rs 492
- B. I. Rs 614; II. Rs 528; III. Rs 614
- C. I. Rs 492; II. Rs 528; III. Rs 492
- D. I. Rs 602; II. Rs 528; III. Rs 614
- E. I. Rs 590; II. Rs 590; III. Rs 602

[3]

Q.37) Using information in the table below, which of the following is correct combination of calculations?

Items	2023-24 (Rs in Crores)
Merchandise Exports	18,000
Merchandise Imports	20,000
Software Exports	16,000
Software Imports	12,000
Earnings on Loans and investment from abroad	400
Earnings on Loans and investment in the country by foreigners	1,000
Private remittances to abroad	200
Private remittances from abroad	150
Government loans to abroad	30

Government loans from abroad	20
Direct investments abroad	10
Foreign direct investment in the country	150
Short term loans and investment abroad	200
Foreign short term loans and investment in the country	40

where,

- I. Balance of trade
- II. The current account balance
- III. The capital account balance.

- A. I. -2000, II. 1340, III. -30
- B. I. 2000, II. 1350, III. -10
- C. I. 6000, II. -2000, III. 10
- D. I. 1350, II. 1350, III. -20
- E. I. 2160, II. 2160, III. -10

[3]

Q.38) Fill in the blanks by choosing a correct set of options.

Labour is a vital factor of production and an important element of the aggregate supply. But the demand for labour is (I). The level of aggregate demand for goods and services (AD) therefore affects the aggregate demand for labour (ADL) in the economy. The aggregate supply of labour (ASL) curve is relatively (II), since size of the labour force at any time cannot change significantly. The ADL curve slopes downwards on the assumption of (III). The labour market is in equilibrium at a real wage rate of ' W_e ' where the demand for labour equals the supply. If the wage rate were above ' W_e ', the labour market would be in a state of disequilibrium. For disequilibrium unemployment to occur two conditions must hold –

- (a) ASL should be more than ADL
- (b) (IV)

- A. I. elastic, II. elastic, III. diminishing returns to scale, IV. flexibility of wages
- B. I. elastic, II. inelastic, III. increasing returns to labour, IV. stickiness of wages
- C. I. inelastic, II. elastic, III. increasing returns to labour, IV. stickiness of wages
- D. I. derived demand, II. inelastic, III. diminishing returns to labour, IV. stickiness of wages
- E. I. inelastic, II. elastic, III. diminishing returns to labour, IV. flexibility of wages

[3]

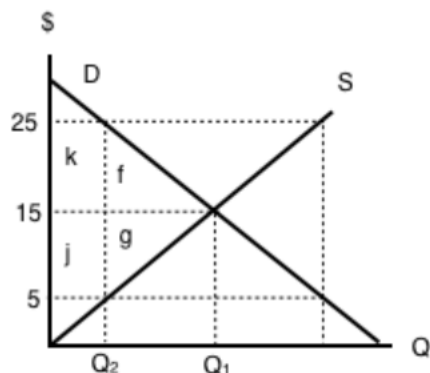
Q.39) Fill in the blanks by choosing a correct set of options.

The IS curve is based on equilibrium in goods market. Initially at real interest rate r_1 the equilibrium level of national income is Y_1 where injections are equal to withdrawals. When the real rate of interest falls to r_2 , this will cause a (I) hence a rise in income to Y_2 . Thus, IS curve is downward sloping. The elasticity of IS curve depends on two factors: (A) more interest rate responsive is investment and savings (II) is the IS curve, (B) the larger the value of multiplier (III) will be IS curve.

- A. I. fall in investment, II. more elastic, III. less elastic
- B. I. fall in savings, II. less elastic, III. more elastic
- C. I. rise in investment, II. more elastic, III. more elastic
- D. I. rise in investment, II. less elastic, III. less elastic
- E. I. fall in investment, II. less elastic, III. more elastic

[3]

- Q.40)** Refer to the supply and demand curves illustrated below for the following questions. Consider the introduction of a \$20 per unit tax in this market.



Which area on the graph represent the following:

- I. Loss of consumer and producer surplus;
- II. gain in government revenue;
- III. dead weight loss.

- A. I. $k+f$; II. $k+j$; III. $k-g$
- B. I. $j+g$; II. $k+j$; III. $j-f$
- C. I. $k+j$; II. $j+g$; III. $f+g$
- D. I. $k+f+j+g$; II. $k+j$; III. $f+g$
- E. I. $k+f+j+g$; II. $j+g$; III. $j-f$

[3]

- Q.41)** Consider a market in country Z where there are many gyms selling their annual membership plans. One of the well-known gym "Gym A" in your locality is selling annual membership at Rs 12000 and is able to enrol 500 members. Choose a correct combination of the answers to the following questions.

- I. Calculate the price elasticity of demand for Gym A if it increases its annual membership package to Rs 15000 and sees a drop in enrolment to 450 members in a month.
- II. Explain the likely impact on future revenue if Gym A further increases its price by 10% assuming it has the same elasticity as calculated above.
- III. There is a healthy food chain outside the gym which sells protein shakes and healthy snacks to gym members before and after their gym session. Due to the drop in membership of Gym A, it has also experienced slight drop in its monthly sales. What can you say about the cross-price elasticity between gym A and health food chain? At the same time another gym in the vicinity, gym B, has experienced an increase in its membership.

- A. I. 0.6; II. Revenue will increase; III. zero
- B. I. 0.5; II. Revenue will fall; III. greater than 1
- C. I. 1.8; II. No impact on revenue; III. less than 1
- D. I. 2.5; II. Increase initially and then fall; III. greater than 0
- E. I. 0.4; II. Revenue will fall; III. less than 0

[3]

- Q.42)** Using information in the table below, choose a correct combination of the answers to the following statements.

National Income	Consumption	Investment	Government expenditure	Exports	Imports
100	130	30	70	40	15
200	210	30	70	40	30
300	290	30	70	40	45
400	370	30	70	40	60

Taxation is 33% of national income.

- I. Equilibrium level of national income;
- II. Fiscal position (surplus, deficit or balance) at the equilibrium level of income.;
- III. Assuming economy is initially in equilibrium, the effect on the current account balance of an increase in investment of 40 million.

- A. I. 543; II. 109; III. Deficit will increase
- B. I. 500; II. 0; III. No impact
- C. I. 480; II. 179; III. Deficit will increase
- D. I. 530; II. 70; III. Deficit will become surplus
- E. I. 540; II. -100; III. Surplus will become deficit

[4]

- Q.43)** Choose a correct combination of the answers to the following questions with respect to Business cycles.

- I. As per Keynesians, which of the following statement is true for business cycle?
- II. Which of the following factors can dampen the effect of accelerator?
 - a. Swings in government policy and random shocks;
 - b. Carrying of stocks;
 - c. Forward planning by firms and inability of producer goods industries to supply the capital requirement.
- III. Which of the following could also be causes of cyclical fluctuations as per Keynes?
 - a. bandwagon effects,
 - b. Time lag,
 - c. ceilings and floors,
 - d. cautiousness of firms.

- A. I. Business cycles are caused by instability of private sector expenditure. Out of which consumer demand is the most volatile component which is explained by accelerator theory.
 II. (a) only
 III. (a), (b) and (c)
- B. I. Business cycles are caused by instability of private sector expenditure. Out of which investment is the most volatile component which is explained by accelerator theory.
 II. (b) and (c)
 III. (a), (b) and (c)
- C. I. Business cycles are caused by instability of government sector expenditure. Out of which taxes is the most volatile component which is explained by accelerator theory.
 II. (c) only
 III. (b) and (c)

- D. I. Business cycles are caused by instability of private sector expenditure. Out of which net export is the most volatile component which is explained by multiplier theory.
II. (b) and (c)
III. (a) and (d)
- E. I. Business cycles are caused by instability of government sector expenditure. Out of which taxes is the most volatile component which is explained by accelerator theory.
II. (a) and (b)
III. All of above

[4]

Q.44) In an open economy with perfect capital mobility, choose a correct combination of the impact of following on output and employment.

- I. Expansionary monetary policy if there is a fixed exchange rate;
II. Expansionary monetary policy if there is a floating exchange rate;
III. Expansionary fiscal policy if there is a fixed exchange rate;
IV. Expansionary fiscal policy if there is a floating exchange rate.
- A. I. Decrease Output and employment; II. Increase output and employment; III. Decrease output and employment; IV. No impact on Output and hence employment
B. I. No impact on Output and hence employment; II. Increase output and employment; III. Increase output and employment; IV. No impact on Output and hence employment
C. I. Increase Output and employment; II. Decrease output and employment; III. Increase output and employment; IV. Decrease output and employment
D. I. Decrease Output and increase unemployment; II. Increase output and employment; III. Increase output and employment; IV. increase output and employment
E. I. No impact on Output and hence employment; II. Increase output and employment; III. Decrease output and employment; IV. No impact on Output and hence employment

[4]
